NATIONAL COMPANY LAW TRIBUNAL
INDORE BENCH
COURT NO. 1

ITEM No.4
CP(CAA)/4(MP)2023
in
CA(CAA)/3(MP)2023

Proceedings under Section 230-232

IN THE MATTER OF:

Essar Power Transmission Company Ltd
(Demerged Company)

.....Applicant

Order delivered on 15/02/2024

Coram:

P. Mohan Raj, Hon'ble Member(J)
Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of the order.

The order is pronounced in open Court *vide* separate sheet.

Sd/-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

Sd/-

P. MOHAN RAJ
MEMBER (JUDICIAL)

A. Bhadauria

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
INDORE BENCH

CP (CAA) 4 of 2023
In
CA (CAA) 3 of 2023

[Application under Sections 230-232 of the Companies Act, 2013 read with the Companies (Compromise, Arrangement and Amalgamation) Rules, 2016]

In the matter of:

Essar Power Transmission Company Limited
Essar Power M P Limited
Power Plant, Village Bandhaura
Post Karsualal Singrauli
Singrauli, Madhya Pradesh – 486886. Petitioner
Demerged Company

Order pronounced on: 15.02.2024

Coram: Hon'ble P. Mohan Raj, Member (J)
Hon'ble Kaushalendra Kumar Singh, Member (T)

Appearance:

For the Applicant:	Ld. Sr. Adv. Mr. Saurabh Soparkar Ld. Sr. Adv. Mr. Devang Nanavati Ld. Adv. Ms. Shikha Tandon Ld. Adv. Mr. Raheel Patel Ld. Adv. Mr. Prakhar Pandey Ld. Adv. Mr. Aalay Shah
For the RD	Mr. Shivpal Singh (Dy. Director)

ORDER

1. The instant petition is filed by Essar Power Transmission Company Limited (hereinafter referred to as the "**Petitioner Company**" or "**Demerged Company**") under Sections 230-232 of the Companies Act, 2013 read with Companies (Compromise, Arrangement and Amalgamations) Rules, 2016 seeking approval of the Scheme of Arrangement by way of Demerger between Essar Power

Transmission Company Limited (**Demerged Company**) and the Essar Transco Limited (**Resulting Company**) with effect from 01.04.2023, being the Appointed Date as mentioned in the Scheme.

2. The scheme proposes transfer by way of demerger of the Stage II Transmission Undertaking of the demerged company to the resulting company in accordance with the conditions set out in Section 2(19AA) and other relevant provisions of the Income Tax Act, 1961. Further the scheme envisages issuance and allotment of Convertible Cumulative Participating Preference Shares (CCCPPS) by the resulting company to such members of the demerged company whose name is recorded in the register of members as a shareholder of the demerged company as on record date.

3. The demerged company and the resulting company have filed separate petitions before this Tribunal for the sanction of the proposed scheme. The demerged company is a public listed company incorporated on 07.12.2005 under the provisions of the Companies Act, 1956 having its registered office at Essar Power M P Limited, Power Plant, Village Bandhaura, post Karsualal, Singrauli, Madhya Pradesh. The demerged company was originally incorporated with its registered office in Maharashtra, which was then transferred to Delhi on 30.09.2010 and subsequently was changed to its current registered office in the State of MP with effect from 24.08.2020. The company is primarily engaged in planning, promoting, and developing an integrated and efficient power transmission system network and is an "Interstate Transmission Licensee" under the Electricity Act, 2003. The securities of the Company are not listed on any stock exchanges in India.

4. The Demerged Company currently owns, operates, and maintains primarily two inter-state electricity transmission system networks, namely, Stage I Transmission network and Stage II Transmission network. The aforementioned two inter-state transmission system networks are independent and standalone in nature and operate between different sources and points of delivery which are as follows:

(i) Stage I Transmission network (approximate line length being 104.6 km), which supplies electricity primarily to the steel plant of ArcelorMittal Nippon Steel India Limited in Hazira, Surat, Gujarat from the switchyard of NTPC Limited at Gandhar, Gujarat; and

(ii) Stage II Transmission network (approximate line length being 336.7 km), connects the Mahan Thermal power plant operated by Mahan Energen Limited to Sipat pooling sub-station.

5. The registered office of the resulting company was in Mumbai when the first motion petition was filed by the resulting company. The resulting company was originally incorporated with its registered office at Essar House, 11 K.K. (Keshavrao Khadye) Marg, Mahalaxmi, Mumbai. Subsequently the registered office was changed to its current registered office at Singrauli (M.P.) with effect from 07.07.2023. The resulting company is a wholly owned subsidiary of the Demerged Company. The company is engaged in the business of planning, promoting, and developing integrated and efficient power transmission system networks.

6. The details of the petitions filed by the demerged company and the resulting company are as follows:

(i) Demerged Company first motion application CA(CAA) 3 of 2023 was filed on 17.05.2023 and the present petition was filed on 22.09.2023;

(ii) Resulting Company first motion application CA(CAA) 6 of 2023 was filed on 09.08.2023 and the second motion petition i.e. CP (CAA) 3 of 2023 was filed on 10.10.2023.

7. An Affidavit in support of the above petition has been sworn by Mr. Sanjay Shah being authorized signatory of the Petitioner Company and the same is annexed with the application. Also, the above-named authorized representative for the demerged Company has been authorized vide separate Board Resolution dated 16.05.2023 of the Company.

8. It is stated that upon the Scheme taking full effect, the same would, *inter-alia*, have the following benefits:

(i) Focused and concentrated approach in maintaining Stage II Transmission Undertaking;

(ii) Enable the petitioner demerged company and the resulting company to independently maximize opportunities for strategic partnership and flexibility of fund-raising, capability for future growth and expansion; and

(iii) The businesses and activities of each of the petitioner demerged company and the resulting company will be carried out more economically, conveniently and advantageously following the Scheme and the same will have beneficial results for the Companies, their shareholders and all other concerned stakeholders.

9. The petitioner demerged company had filed a Company Application being CA(CAA) 3 of 2023, before this Tribunal seeking directions for convening and holding meeting of the equity shareholders, secured creditors and unsecured creditors of the petitioner demerged company.

This Tribunal vide order dated 06.07.2023 passed in C.A.(CAA) 3 of 2023 directed to convene the meeting of the equity shareholders, secured creditors and unsecured creditors of the petitioner company to be held on 16.08.2023. Further, this Tribunal appointed Mr. V.S. Verma, as the Chairperson; Dr. R.C. Mohanty, as the Alternate Chairperson; and Mr. Sunil Zore, as the Scrutinizer, for the said meetings.

10. In addition to the above directions this Tribunal also directed the petitioner demerged company to serve notice of the Scheme in compliance with Section 230(5) of the Companies Act, 2013 in the Form 'CAA-3' along with disclosures mentioned under Rule 6 to (i) the Central Government through the Regional Director, North Western Region, (ii) the Registrar of Companies, Gwalior, and (iii) the Income Tax Authorities, along with full details of assessing officer and PAN number of the Petitioner Company with the copy to Chief Commissioner of Income Tax Office and (iv) Central Electricity Regulatory Commission ("**CERC**"), and to such other authorities who may govern the working of the petitioner demerged company involved in the Scheme.

Further, this Tribunal also directed the petitioner demerged company to serve the notices of the meetings to the equity shareholders, secured creditors and unsecured creditors of the Petitioner Company by registered post or by speed post or by hand delivery or by electronic email to their registered email address; and to publish the notice for

convening of the said meetings, in Dainik Bhaskar (Hindi) and Times of India (English), at least 30 days before the date of the meetings (i.e. August 16, 2023).

11. It has been submitted that the petitioner demerged company has duly complied with the directions contained in the order dated 06.07.2023. The Chairperson for the Meetings of the equity shareholders, secured creditors, and unsecured creditors of the petitioner demerged company also filed a compliance affidavit under Rule 12 of the Rules on 07.08.2023.

12. In compliance with the directions passed by this Hon'ble Tribunal, the petitioner demerged company duly convened the physical meeting of the equity shareholders and unsecured creditors of the Petitioner Company on 16.08.2023. However, the quorum for the secured creditors could not be fulfilled and therefore, the physical meeting of the secured creditors was adjourned and was convened on 23.08.2023. The Chairperson filed the report on 30.08.2023 and as per the Report, equity shareholders, secured creditors and unsecured creditors, present and voting, have approved the Scheme, with 100% votes.

13. The petitioner demerged company has filed the present Company Petition being CP (CAA) No.4 of 2023 before this Tribunal seeking sanction of the Scheme.

14. This Tribunal vide order dated 19.10.2023, directed the petitioner demerged company to publish notice of hearing in newspapers, namely, "Dainik Bhaskar" (Hindi; Singrauli & Indore Edition), "Times of India" (English; Indore& Ahmedabad Edition), "Dainik Bhaskar" (Hindi; Pan India), "Times of India" (English; Pan India) both by way of an advertisement, if required, not less than ten

days before the fixed date of hearing, calling for objections, if any, on or before the date of hearing. Further direction to serve notice of hearing to Statutory Authorities was also given in the said order.

Pursuant to the said order the petitioner demerged company published the notice of hearing of the company petition in the said newspaper on 18.11.2023. The affidavit of service dated 03.01.2024, on behalf of the petitioner demerged company, has been filed confirming the publication of the notice in the newspapers as directed and also the notice of hearing of the petition along with the copy of the Scheme, Orders, and complete paper book of the First & Second Motion Petition being served upon the concerned statutory authorities.

15. In response to the notice dated 13.07.2023 served upon the Regional Director (RD), a representation was filed by the RD, North-Western Region, dated 09.11.2023, wherein there is no adverse observation in respect of sanctioning and approving the proposed Scheme. However, the RD has prayed for following directions to the petitioner companies:

(i) To not to allow transfer of authorized capital of the demerged company to the authorized capital of the resulting company; since there is no provision in the Companies Act for the reduction of authorized capital of the demerged company and increase of the authorized capital of the resulting company by demerger;

(ii) to obtain NOC/Comments, if any from sectoral regulatory authority, if required;

(iii) As per para 3 (xvi) of the order dated 06.07.2023, of this Tribunal, the petitioner demerged company has 3 (three) Secured Creditors. However, as per the charge Index available

on MCA 21 portal, the petitioner demerged company has only one open secured charge;

(iv) To file an affidavit to the extent that the Scheme enclosed to the Company Application and Company Petition are one and same and there is no discrepancy, or no change is made;

(v) Observation concerning Address change of the Resulting Company;

(vi) Since assets to be transferred are more than liabilities, the petitioner demerged company shall undertake to serve the creditors of the Demerged Company as on the Appointed Date;

Further, it has been observed by the RD, as confirmed by the RoC that there are no complaints against the Petitioner Companies and there is no complaint/ representation against the Scheme of the Petitioner Companies.

16. The petitioner demerged company has filed an affidavit in reply dated 03.01.2024 to the representation of the RD, however the RD has filed its further report dated 24.01.2024. The submissions made by the petitioner demerged company in its reply and the observations made in the further report of the RD are as follows:

(i) It is stated that the consolidation of authorized capital of the petitioner demerged company in the share capital of the Resulting Company is an established market practice and has been approved by various NCLTs. The following judgments align with said practice:

(a) M/s GHCL Limited and M/s GHCL Textile Limited - NCLT, Ahmedabad in CP (CAA) No. 61/AHM/2022 in CA (CAA) No. 40/AHM/2022 [Paras 6, 8 & 14]
(b) M/s. Kunvarji Commodities Brokers Private Limited. - NCLT, Ahmedabad in CP (CAA) 46/AHM/2022 in CA

(CAA) 26/AHM/2022 - [Paras 4, 7 & 14]

(c) Meghmani Orgamics Limited, Meghmani Organochem Limited and Meghmani Finechem Limited – NCLT, Ahmedabad in CP (CAA) 8/AHM/2021 in CA (CAA) 69/AHM/2020 [Paras 9, 10 & 19]

(d) GTPL Hathway Ltd., GTPL Deesha Cable and Ors. - NCLT, Ahmedabad - in CP (CAA) 2/AHM/2021 in CA (CAA) 70/AHM/2021 - [Paras 12, 13 & 22]

Further Comments of RD: That there is no provision in the Act for reduction of the authorized capital of Demerged Company and increase of the authorized capital of the Resulting Company by virtue of the Demerger Scheme. However, the Hon'ble Tribunal may consider the merit of judicial pronouncements as reported by the petitioner demerged company and pass appropriate order.

(ii) The CERC has granted its NOC vide order dated 23.11.2023;

Further Comments of RD: The petitioner demerged company has provided a copy of the order dated 23.11.2023, passed by the CERC wherein the said regulatory has stated that for implementation of the scheme, the petitioner demerged company has to comply with certain directions of the Commission. Thus, the scheme is in the knowledge of the CERC.

(iii) The petitioner demerged company has 3 secured creditors, namely (i) REC Limited, (ii) Power Finance Corporation Limited and (iii) Axis Bank Limited. The RD herein has failed to consider the fact that the charge which was filed and registered under the Charge ID: 10304391 contained the names of the charge holders in the Form CHG-1 filed for the said charge and also as

a separate attachment to the form, wherein the names of all the three Secured Creditors of the petitioner demerged company are indicated.

The charge with Charge ID: 10304391 has been registered solely in the name of REC Limited in its capacity as the lead bank and security agent for the consortium which includes the other two secured creditors. REC Limited was appointed and authorized to act as the Security Agent of the Secured Creditors of the petitioner demerged company *vide* Security Agent Agreement dated 23.06.2020, pursuant to the Master Debt Restructuring Agreement dated 04.06.2020, entered into between the Secured Creditors of the petitioner demerged company. Therefore, the charge was registered in favor of REC Limited, being the security agent of the Secured Lenders. It is for the same reason that the charge Index available on the MCA 21 portal only mentions the name of REC Limited.

(iv) The Scheme enclosed to the First Motion Petition and the Second Motion Petition are the same and there is no discrepancy or changes made. The said statement is supported by an accompanying affidavit dated 02.01.2024, to the present reply.

(v) The Resulting Company has made the necessary compliances and timely informed the RD about the change in address pursuant to the order dated 30.06.2023, issued by the Regional Director, Western Region, Ministry of Corporate Affairs.

(vi) Approvals of the creditors were duly taken by way of meetings. Nonetheless, the Petitioner Companies undertake to

serve the creditors of the Demerged Company as on the Appointed Date.

(vii) The petitioner demerged company undertakes to comply with the relevant provisions of law, as applicable and has furnished the requisite details pertaining to the Scheme before this Tribunal. Furthermore, the petitioner demerged company also undertakes to comply with the provisions of Section 232(5) of the Act, Income Tax/ GST Law and any demand/ taxes payable on implementation of the scheme as per the law. The petitioner demerged company also undertakes to preserve its books of accounts, papers and records and shall not dispose of the same without prior permission of the Central Government as per Section 239 of the Act. Lastly, it undertakes to pay the necessary stamp duty on transfer of properties/ assets to the respective authorities as and when applicable.

17. Considering the above affidavit in reply filed by the petitioner demerged company, the observations made by the Regional Director in its representation stands satisfied.

18. The Income Tax Department was served the notice twice, however, no reply has been placed on record by the department. In terms of Section 230 (5) of the Act read with Rule 8 (3) of the Rules, if the statutory authorities fail to file their representations within a period of 30 days, from the date of receipt of such notice, it shall be presumed that they have no objection to the proposed Scheme.

19. It is further submitted by the learned counsel for the petitioner demerged company that the Scheme is not against the public policy and it does not adversely impact any secured and unsecured creditors

of the Demerged Company. It has also been submitted that all statutory obligations under all applicable laws shall be complied with.

20. The petitioner demerged company has placed on record a copy of the Share Entitlement Report dated 12.05.2023 issued by Niranjan Kumar, Registered Valuer– Securities or Financial Assets IBBI Registration No. IBBI/RV/06/2018/10137. Further, in compliance with the proviso to clause (e) of sub-section (7) of Section 230 of the Companies Act, 2013, certificate dated 15.05.2023 from the statutory auditor of the Company, is placed on record confirming that the accounting treatment as proposed under the Scheme is in conformity with the applicable Accounting Standards prescribed under section 133 of the Companies Act, 2013.

21. It is also submitted by the Ld. Counsel appearing for the petitioner demerged company that no inspection or investigation has been instituted or is pending against the petitioner company under the provisions of the Companies Act, 2013. It was also stated that if there is any deficiency found, or violation committed of any enactment, statutory rules or regulations, the sanction granted by the Tribunal to the scheme will not come in the way of action being taken in accordance with law, against the concerned persons, directors and officials of the petitioner company.

22. We have heard Ld. Counsel for the petitioner demerged company and have gone through the material available on record. Considering the facts and circumstances of the captioned petition and on perusal of the Scheme, it is noted that the requirements of the provisions of sections 230 and 232 are satisfied by the petitioner demerged company. The said scheme shall be binding on the petitioner demerged company and their shareholders, creditors and all concerned under the scheme.

23. We are of the considered view that the proposed Scheme is bona fide and in the interest of the shareholders and creditors. Further it is declared that the said sanctioned scheme shall be binding on the petitioner demerged company and their shareholders, creditors and all concerned under the scheme.

24. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule, or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioner.

25. While approving the Scheme as above, we further clarify that this order should not be construed as an order in granting any exemption from payment of stamp duty, taxes including income tax, GST etc. or any other charges, if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law.

26. The Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and if it is found that the Scheme of Arrangement ultimately results in tax avoidance or is not in accordance with the applicable provisions of Income Tax Act, then the Income Tax Department shall be at liberty to initiate appropriate course of action in accordance with the law. Any sanction of the Scheme of Arrangement under section 230-232 of the Companies Act, 2013 shall not adversely affect the rights of the Income Tax Department or any past, present or future proceedings and the sanction of the Scheme shall not come in its way for the appropriate course of action as per law for the tax liabilities, if any.

27. As a result, the Company Petition is allowed and we order as under:

(i) The Scheme of Arrangement as annexed herewith as **"Annexure A"** is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Demerged Company and their Shareholders and Creditors and all concerned under the Scheme.

(ii) All the property, rights and powers of the demerged company concerning with Stage II Transmission Undertaking be transferred without further act or deed to the resulting company. Accordingly, the same shall pursuant to Section 232 of the Act, be transferred to and vested in the resulting company for all the estates and interest of the demerged company therein.

(iii) All the liabilities and duties of the demerged company concerning with Stage II Transmission Undertaking be transferred without further act or deed to the resulting company. Accordingly, the same shall pursuant to section 232 of the Act, be transferred to and become the liabilities and duties of the resulting company.

(iv) The employees engaged in relation to Stage II Transmission Undertaking of the Demerged Company shall stand transferred to the Resulting Company on the same terms and conditions at which these employees are engaged by the Demerged Company without any interruption of services as a result of the transfer.

(v) The petitioner company shall within thirty days of the date of the receipt of this order cause a certified copy of this order to

be delivered to the Registrar of Companies for registration and on such certified copy being so delivered the Stage II Transmission Undertaking of the demerged company shall be deemed to be transferred. The Registrar of Companies shall place all documents relating to the Stage II Transmission Undertaking of the demerged company, registered with him along with the file kept by him in relation to the resulting company and the files relating to the said companies shall be consolidated accordingly.

(vi) The Petitioner Demerged Company is directed to file a copy of this Order along with a copy of the Scheme of Arrangement duly authenticated by the Registrar of this Tribunal, with the Registrar of Companies, electronically, along with e-form INC-28 within 30 days from the date of issuance of the certified copy of order by the Registry as per relevant provisions of the Act.

(vii) All proceedings, if any, now pending against the demerged company in relation to Stage II Transmission Undertaking be continued by or against the resulting company.

(viii) The legal fees and expenses of the office of the Regional Director are quantified at Rs.10,000/- in respect of the Petitioner Demerged Company. The said fees to the Regional Director shall be paid by the Petitioner Company.

(ix) All concerned Authorities to act on copy of this order along with the Scheme authenticated by the Registrar. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme.

(x) The Petitioner Demerged Company is directed to lodge a copy of this Order along with the approved Scheme attached with this order as Annexure-A, duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, within 60 days from the date of the Order.

(xi) Any person aggrieved shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

28. With the above directions CP(CAA) 4 of 2023 in CA(CAA) 3 of 2023 is allowed and disposed of. The petition filed by the resulting company i.e. CP(CAA) 3 of 2023 is also allowed by this Tribunal vide order dated 15.02.2024.

Sd/-

Kaushalendra Kumar Singh
Member (Technical)

Sd/-

P. Mohan Raj
Member (Judicial)

Swati

SCHEME OF ARRANGEMENT

AMONGST

ESSAR POWER TRANSMISSION COMPANY LIMITED ... **Demerged Company**

ESSAR TRANSCO LIMITED ... **Resulting Company**

And

their Respective Shareholders

Under Sections 230-232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013 and rules thereunder (to the extent notified).

PART I – GENERAL

1. PREAMBLE

1.1 This Scheme of Arrangement (the "**Scheme**") is presented under Section 230-232 and other applicable provisions of the Act (*as defined hereinafter*), amongst **Essar Power Transmission Company Limited** (the "**Demerged Company**"), **Essar Transco Limited** (the "**Resulting Company**") and their respective shareholders, for the demerger of Stage II Transmission Undertaking (*as defined hereinafter*) of the Demerged Company into the Resulting Company.

2. BACKGROUND

2.1 The Demerged Company is a public limited company incorporated under the Companies Act, 1956, with CIN U99999MP2005PLC052837, having its registered office at Essar Power M P Limited, Power Plant, Village Bandhaura, Post Karsualal Singrauli, Singrauli, Madhya Pradesh – 486886. The Demerged Company is primarily engaged in planning, promoting and developing an integrated and efficient power transmission system network and is an "Interstate Transmission Licensee" under the Electricity Act, 2003.

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2.2 The Resulting Company is a public limited company incorporated under the Companies Act, 2013, with CIN U40106MH2022PLC395692, currently having its registered office at Essar House, 11, KK (Keshavrao Khadye) Marg, Mahalaxmi, Mumbai, Maharashtra, 400034. The Resulting Company has been incorporated with the objective of undertaking the business of planning, promoting and developing integrated and efficient power transmission system networks. In the event the Resulting Company changes its registered office in accordance with the Act, the new registered office of the Resulting Company shall be deemed to be the registered office of the Resulting Company for the purposes of this Scheme and all matters related thereto.

3. RATIONALE

3.1 The Demerged Company was granted an inter-state transmission license by the Central Electricity Regulatory Commission, *vide* Order (*as defined hereinafter*) dated April 10, 2008 in Petition No. 157 of 2007 (i.e., License No.4/Transmission/CERC) (*hereinafter referred to as the* "**ISTS License**").

3.2 The Demerged Company currently owns, operates and maintains primarily two inter-state electricity transmission system networks, namely, Stage I Transmission network (*as defined hereinafter*) and Stage II Transmission network (*as defined hereinafter*). The aforementioned two inter-state transmission system networks are independent and standalone in nature and operate between different sources and points of delivery which are as follows:

(i) Stage I Transmission network (approximate line length being 104.6 km), which primarily supplies electricity to the steel plant of ArcelorMittal Nippon Steel India Limited in Hazira, Surat, Gujarat from the switchyard of NTPC Limited at Gandhar, Gujarat; and

(ii) Stage II Transmission network (approximate line length being 336.7 km), connects the Mahan Thermal power plant operated by Mahan Energen Limited to Sipat pooling sub-station.

3.3 This Scheme is intended for the segregation of the Remaining Business *(as defined hereinafter)* and Stage II Transmission Undertaking of the Demerged Company, in accordance with Sections 230 to 232 and other relevant provisions of the Act (as may be applicable) read with Section 2(19AA) and other relevant provisions of the IT Act (*as defined hereinafter*) (as may be applicable), whereby the business of owning, operating and maintaining the Stage II Transmission Undertaking shall be vested in and to the Resulting Company and the Demerged Company shall continue to own, operate and maintain the Remaining Business.

3.4 The Scheme is intended to achieve, *inter alia*, greater efficiency in operations, and increased focus and attention to the Stage II Transmission network in a manner that is compliant with all the statutory and regulatory requirements. The Scheme will also

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create separate management platforms for the distinct and standalone Stage I Transmission network and Stage II Transmission network, which will enable achievement of long term objective of strengthening the operations and financials of the Remaining Business and Stage II Transmission Undertaking, and enable suitable investments to be made in Remaining Business and Stage II Transmission Undertaking, respectively, by potentially interested investors. In view of the long-term objectives and plans set forth by the Demerged Company and Resulting Company, it is considered desirable and expedient to reorganise and reconstruct the Demerged Company by demerging the Stage II Transmission Undertaking into the Resulting Company in the manner and on the terms and conditions contained in this Scheme.

3.5 The Scheme would, *inter-alia*, have the following benefits:

(i) Focused and concentrated approach in maintaining Stage II Transmission Undertaking from the standpoint of the Resulting Company;

(ii) Enable the Resulting Company and the Demerged Company to independently maximize opportunities for strategic partnership and flexibility of fund-raising, capability for future growth and expansion and creation of a structure geared to take advantage of market opportunities for further consolidation or expansion; and

(iii) The businesses and activities of each of the Companies (*as defined hereinafter*) will be carried out more economically, conveniently and advantageously following the Scheme and the same will have beneficial results for the Companies, their shareholders and all other concerned stakeholders.

3.6 Accordingly, to achieve the aforesaid objectives, the Board of Directors of the Demerged Company and the Resulting Company have decided to make requisite application and / or petition to NCLT *(as defined hereinafter)* under Section 230-232 of the Act in the manner provided for in this Scheme.

3.7 Pursuant to the Demerger (*as defined hereinafter*):

(i) All the properties of the Stage II Transmission Undertaking immediately before the Demerger shall become the properties of the Resulting Company by virtue of the Demerger;

(ii) All the liabilities related to the Stage II Transmission Undertaking immediately before the Demerger shall become the liabilities of the Resulting Company by virtue of the Demerger;

(iii) The properties and the liabilities of the Stage II Transmission Undertaking as set out in (i) and (ii) above shall be transferred to the Resulting Company at

such values as determined in accordance with applicable Accounting Standards;

(iv) The Resulting Company shall, in consideration of the Demerger, issue CCCPPS *(as defined hereinafter)* to all the shareholders of the Demerged Company on a proportionate basis in accordance with the Entitlement Ratio *(term defined hereinafter)*; and

(v) The transfer of the Stage II Transmission Undertaking shall be on a going concern basis.

4. This Scheme has been drawn up to comply with the conditions relating to "*demerger*" as specified under Section 2(19AA) and other relevant provisions of the IT Act. If any term or provision of the Scheme is found or interpreted to be inconsistent with the said provisions, including resulting from an amendment of law or for any other reason whatsoever, the Scheme may be modified in the manner provided in this Scheme to the extent determined necessary to comply with Section 2(19AA) and other provisions of the IT Act. Such modification will however not affect other parts of the Scheme.

5. PARTS OF THE SCHEME

5.1 This Scheme is divided into the following parts:

(i) **Part I**, which deals with the introduction, definitions and interpretation, and share capital;

(ii) **Part II**, which deals with the Demerger of the Stage II Transmission Undertaking into the Resulting Company; and

(iii) **Part III**, which deals with general terms and conditions applicable to the Scheme.

6. DEFINITIONS AND INTERPRETATION

6.1 Definitions

In this Scheme, unless repugnant to the meaning or context thereof, the following expressions shall have the following meaning:

"**Accounting Standards**" shall mean the Indian Accounting Standard and/ or the Generally Accepted Accounting Principles basis which the Resulting Company and/ or the Demerged Company is required to prepare its books of accounts in accordance with the applicable provisions of the Act and Rules made thereunder;

"**Act**" shall mean the Companies Act, 2013, the rules, regulations, notifications, circulars and directions made or issued thereunder;

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"**Appointed Date**" shall mean the opening hours of business on April 1, 2023 or such other date as may be mutually agreed by the Demerged Company and the Resulting Company or such other date as the NCLT may direct/ allow;

"**Applicable Law**" or "**Law**" shall mean any applicable statute, law, regulation, ordinance, rule, judgment, order, decree, clearance, approval from the concerned authority, directive, guideline, press note, policy, requirement, or other governmental restriction or any similar form of decision, or determination by, or any interpretation or administration of any of the foregoing by, any Government Authority;

"**Board of Directors**" in relation to each of the Companies, as the case may be, shall mean the board of directors of such Company and, unless it be repugnant to the context, includes a duly authorised committee of directors;

"**CCCPPS**" shall mean compulsorily convertible cumulative participating preference shares each having a face value of INR 10/- (Indian Rupees Ten only) each and issued on the terms as set out in **Annexure A** *(Terms of CCCPPS)*;

"**Companies**" shall mean the Demerged Company and the Resulting Company;

"**Contract**" shall mean any agreement, contract, obligation, promise, understanding, subcontract, lease, instrument, note, warranty, insurance policy, benefit plan or legally binding commitment or undertaking of any nature, whether written or oral or express or implied;

"**Demerged Company**" shall have the meaning set forth in Clause 1.1;

"**Demerged Liabilities**" shall mean and include the following:

(i) The debts, liabilities, obligations incurred and duties of any kind, nature or description (including contingent liabilities) which arise out of the activities or operations of the Stage II Transmission Undertaking;

(ii) Any specific loans or borrowings (including debentures) raised, incurred and utilised solely for the activities or operations of the Stage II Transmission Undertaking; and

(iii) In cases, other than those referred to in clause (i) and (ii) above, (a) so much of the amounts payable against the optionally convertible debentures issued by the Demerged Company, as stand in the same proportion as the costs and expenses (including project costs) incurred by the Demerged Company for the Stage II Transmission Undertaking bears to the to the total value of the costs and expenses (including project costs) incurred by the Demerged Company for the Stage II Undertaking and the Remaining Business; and (b) so much of the amounts of other general or multipurpose borrowings, if any, of the Demerged

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Company as stand in the same proportion which the value of the assets transferred in the Demerger bears to the total value of the assets of such Demerged Company immediately before the Demerger;

"**Demerger**" means the transfer pursuant to this Scheme of Arrangement of the Stage II Transmission Undertaking to the Resulting Company, pursuant to the terms and conditions set out in this Scheme;

"**Effective Date**" shall mean the last of the dates of the following on which the below matters occur or have been fulfilled or waived:

(i) The day on which the last of the consents, approvals, permissions, resolutions, assignments and Orders set out in Clause 39 shall be obtained or passed and the actions set out in Clause 39 shall be completed; and

(ii) The day on which all necessary certified copies of Orders under Section 230 to Section 232 of the Act shall be duly filed with the Registrar of Companies.

References in this Scheme to the date of "coming into effect of this Scheme" or "effectiveness of this Scheme" shall mean the Effective Date. For avoidance of doubt, it is hereby clarified that upon occurrence of the Effective Date, the Scheme shall be deemed to be in effect from the Appointed Date;

"**Employee Benefit Funds**" shall have the meaning set forth in Clause 15.2;

"**Employees**" shall mean all employees of the Demerged Company employed or contracted in relation to the Stage II Transmission Undertaking as on the Effective Date;

"**Encumbrance**" shall mean:

(i) Any mortgage, charge (whether fixed or floating), pledge, equitable interest, lien, hypothecation, assignment, deed of trust, title retention, security interest, encumbrance of any kind securing or conferring any priority of payment in respect of any obligation of any person;

(ii) Any proxy, power of attorney, voting trust, interest, option, right of other persons, right of set off, right of first offer, refusal or transfer restriction in favour of any person;

(iii) Any adverse claim as to title, possession or use, conditional sale contract, co-sale contract or trust (other title exception of whatsoever nature);

(iv) Other commitment, restriction, limitation or encumbrance of any kind or nature whatsoever including restriction on use, voting rights, transfer, receipt of income or exercise of any other attribute of ownership; and / or

(v) A Contract, whether conditional or otherwise, to give or refrain from giving any of the foregoing;

and the term "**Encumber**" shall be construed accordingly;

"**Entitlement Ratio**" shall have the meaning set forth in Clause 25 of the Scheme;

"**Governmental Approvals**" shall mean any permission, approval, consent, license, permit, order, decree, authorization, registration, filing, notification, exemption or ruling to or from or with any Governmental Authority;

"**Governmental Authority**" shall mean any nation or government or any province, state or any other political subdivision thereof, any entity, authority or body exercising executive, legislative, judicial, regulatory or administrative functions of or pertaining to government, including any government authority, agency, department, board, commission or instrumentality, of any other jurisdiction in which any of the Companies is resident, any court, tribunal or arbitrator and any securities exchange or body or authority regulating such securities exchange, or any company, business, enterprise or other entity owned or controlled by any of the foregoing;

"**IT Act**" shall mean the Income-tax Act, 1961, including any modifications or reenactments or amendments thereof from time to time;

"**NCLT**" shall mean the relevant National Company Law Tribunal having jurisdiction in relation to the Companies and/ or the National Company Law Appellate Tribunal as constituted and authorised as per the provisions of the Act for approving any scheme of arrangement, compromise or reconstruction of companies under Sections 230 to 232 of the Act, and shall include, if applicable, such other forum or authority as may be vested with the powers of a tribunal for the purpose of Sections 230 to 232 of the Act, as may be applicable;

"**Order**" shall mean any order, injunction, judgment, decree, ruling, writ, assessment or award of a court, arbitration body or panel or NCLT or other Governmental Authority;

"**Record Date**" means the date to be fixed by the Board of Directors of the Resulting Company for the purpose of determining the equity shareholders of the Demerged Company to whom CCCPPS of the Resulting Company shall be allotted;

"**Records**" shall mean records, files, papers, engineering and process information, computer programmes, manuals, data, catalogues, quotations, sales and advertising materials, list of present and former tenants and suppliers, vendors, tenant pricing information, vouchers, registers, ledgers, databases, documents and other books and records, in each case, in any media or format including machine readable or electronic media / format and other records;

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"**Registrar of Companies**" means the relevant Registrar of Companies having territorial jurisdiction in the state(s) in which the respective registered offices of the Companies are located;

"**Remaining Business**" shall mean the Stage I Transmission business, and all other undertakings, businesses, activities, operations, assets and liabilities (including investments in shares and securities and identified assets and bank balances) of the Demerged Company, other than those comprised in the Stage II Transmission Undertaking;

"**Resulting Company**" shall have the meaning set forth in Clause 1.1 above;

"**Rules**" shall mean to the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016;

"**Scheme**" or "the **Scheme**" or "this **Scheme**" shall mean this scheme of arrangement including any modification or amendment hereto, made in accordance with the terms hereof;

"**Stage I Transmission**" shall mean the 104.6 km long 400 kV D/C transmission line (twin conductor) from the NTPC Limited's switchyard at Gandhar to Hazira, and all ancillary equipment and machinery related to the said transmission line, and Stage I Transmission business to be interpreted to mean all current and future business relating to the owning, operating and managing the Stage I Transmission;

"**Stage II Transmission**" shall mean the 336.7 km long 400 kV D/C (Quad moose conductor) transmission line from the thermal power plant at Mahan, Madhya Pradesh to Sipat pooling sub-station and all ancillary equipment and machinery related to the said transmission line, and Stage II Transmission business to be interpreted to mean all current and future business relating to the owning, operating and managing the Stage II Transmission;

"**Stage II Transmission Undertaking**" shall mean the undertaking, business, activities, operations and assets and liabilities which relate thereto, or are necessary thereof and pertaining to the Stage II Transmission business and without limitation include the following:

(i) all the assets and properties (whether movable or immovable, tangible or intangible, current or non-current, real or personal, in possession or reversion, corporeal or incorporeal, present, future or contingent of whatsoever nature) related to or pertaining to the Stage II Transmission business, including without limitation, all lands (whether leasehold or freehold), plants, machinery, equipment, buildings and structures, offices, residential and other premises, manufacturing units, inventories and stock (including motor vehicles, generators, water pumps, spare parts, springs, lamps, chains, frames

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etc.) current assets (including financial assets, sundry debtors, bills of exchange, loans and advances), investments of all kinds (including shares, scrips, stocks, bonds, debenture stocks, units or pass through certificates), cash and bank accounts (including bank balances), contingent rights or benefits, benefits of any deposits, receivables, advances or deposits paid by or deemed to have been paid in connection with or in relation to the Stage II Transmission business, financial assets, benefit of any bank guarantees, performance guarantees and letters of credit, leases (including lease rights), hire purchase contracts and assets, lending contracts, receivables and liabilities related thereto, rights and benefits under any agreement, contracts and arrangements and all other interests in connection with or relating to the Stage II Transmission business, benefit of any security arrangements or under any guarantees, reversions, powers, leases, tenancies in relation to the office and/or residential properties for the employees or other persons, vehicles, share of any joint assets, and other facilities, fixed and other assets, rights to use and avail of telephones, telexes, facsimile, email, internet, leased line connections and installations, utilities, electricity and other services, reserves, provisions, funds, benefits of assets or properties or other interest held in trust, registrations, contracts, engagements, arrangements of all kind, privileges and all other rights, easements, privileges, liberties and advantages of whatsoever nature and wheresoever situate belonging to or in the ownership, power or possession and in the control of or vested in or granted in favour of or enjoyed in connection with or relating to the Stage II Transmission business and all other interests of whatsoever nature belonging to or in the ownership, power, possession or the control of or vested in or granted in favour of or held for the benefit of or enjoyed in connection with or relating to the Stage II Transmission business, whether in India or abroad;

(ii) all permits, quotas, rights, entitlements, letters of intent, expressions of interest, municipal permissions, Governmental Approvals, consents, subsidies, benefit of any deposits, privileges, tax related assets, (including but not limited to credits, such as advance tax, self-assessment tax, minimum alternate tax credit, unabsorbed tax depreciation, tax losses, deferred tax assets/liabilities, tax deducted/collected at source, Good and Services Tax ("**GST**") input credits, service tax input credits, CENVAT credits, value added/ sales tax/ entry tax credits or set offs and tax refunds, but not including any such assets related to income-tax prior to Appointed Date) all other rights including sales tax deferrals and exemptions and other benefits, lease rights, receivables, and liabilities related thereto, licenses, powers and facilities of every kind, nature and description whatsoever, rights to use and avail of telephones, telexes, facsimile connections and installations, utilities, electricity and other services, provisions and all other interests in connection with or relating to the Stage II Transmission business;

(iii) all agreements, contracts, permits, quotas, rights, entitlements, tariff benefits, right of way, transmission license, industrial and other licenses, bids, tenders,

letters of intent, expressions of interest, development rights (whether vested or potential and whether under agreements or otherwise), municipal permissions, approvals, plans, consents, subsidies, privileges, income tax benefits and exemptions, all other rights including sales tax deferrals and exemptions and other benefits, receivables, and liabilities related thereto, licenses, powers and facilities of every kind, nature and description whatsoever, provisions and benefits of all agreements, contracts and arrangements and all other interests in connection with or relating to the Stage II Transmission business;

(iv) all earnest moneys and/or security deposits paid by or received by the Demerged Company in connection with or relating to the Stage II Transmission business;

(v) all the Employees and all liabilities with regard to them, including with respect to payment of gratuity, superannuation, provident fund and others, if any;

(vi) all Records and data pertaining to the Stage II Transmission business;

(vii) advantages of whatsoever nature and wheresoever situated, belonging to or in the ownership, power or possession and in the control of or vested in or granted in favour of or enjoyed by the Demerged Company in relation to the Stage II Transmission business, and all intellectual property rights (whether owned, licensed or otherwise, and whether registered or unregistered) in respect of the following:

a) all copyrights in relation to tenant lists, marketing materials related to the Stage II Transmission business;

b) all designs (including building designs) connected with the Stage II Transmission business; and

c) all know-how and trade secrets (including data analytics) connected with the Stage II Transmission business; and

(viii) the Demerged Liabilities, whether secured or unsecured; and

"Taxation" or **"Tax"** or **"Taxes"** shall mean all forms of taxes (direct or indirect) and statutory, governmental, state, provincial, local governmental or municipal impositions, duties, contributions and levies, surcharges, cess, duties and whether levied by reference to income, profits, book profits, gains, net wealth, asset values, turnover, added value or otherwise and shall further include but not be limited to payments in respect of or on account of Tax, whether by way of deduction / collection at source, advance tax, minimum alternate tax, sales and value added, goods and services tax, input tax, withholding, payroll, excise and property taxes, stamp duty or otherwise or attributable directly or primarily to the Demerged Company and the Resulting Company and all penalties, charges, costs and interest relating thereto

6.2 **Interpretation**

All terms and words used but not defined in this Scheme shall, unless repugnant or contrary to the context or meaning, have the same meaning ascribed to them under the Act.

(i) References to "Schedules", "Clauses", "Sections" and "Parts", unless otherwise stated, are references to schedules, clauses, sections and parts of this Scheme.

(ii) The headings herein shall not affect the construction of this Scheme.

(iii) The singular shall include the plural and *vice versa*.

(iv) Any phrase introduced by the terms "including", "include", "in particular" or any similar expression shall be construed without limitation.

(v) References to a person shall include any individual, firm, body corporate (whether incorporated or not), government, state or agency of a state or any joint venture, association, partnership, works council or employee representatives body (whether or not having separate legal personality).

(vi) References to any Applicable Law, rules, regulations, bye-laws, as the case may be, and any statutory modification or re-enactment thereof for the time being in force.

7. DATE OF TAKING EFFECT AND OPERATIVE DATE

7.1 The Scheme set out herein, in its present form, or with any modification(s) approved or imposed or directed by the NCLT or by any Governmental Authority, shall be effective from the Appointed Date but shall be operative from the Effective Date.

8. SHARE CAPITAL

8.1 Demerged Company

The share capital structure of the Demerged Company as on May 16, 2023 is as follows:

Authorised Share Capital	**Amount (INR)**
1,50,00,00,000 equity shares of INR 10 each	15,00,00,00,000
50,00,00,000 preference shares of INR 10 each	5,00,00,00,000
Total	20,00,00,00,000
Issued, Subscribed and Paid-up Share Capital	**Amount (INR)**

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59,70,36,000 equity shares of INR 10 each	5,97,03,60,000
Total	5,97,03,60,000

8.2 Resulting Company

The share capital structure of the Resulting Company as on May 16, 2023 is as follows:

Authorised Share Capital	**Amount (INR)**
50,000 equity shares of INR 10 each	5,00,000
Total	5,00,000
Issued, Subscribed and Paid-up Share Capital	**Amount (INR)**
50,000 equity shares of INR 10 each	5,00,000
Total	5,00,000

PART II – DEMERGER

SECTION 1 – TRANSFER AND VESTING OF THE STAGE II TRANSMISSION UNDERTAKING

9. Transfer of Undertaking

9.1 Upon the coming into effect of the Scheme and with effect from the Appointed Date, the Stage II Transmission Undertaking shall, pursuant to the sanction of the Scheme by the NCLT and pursuant to the provisions of Sections 230 to 232 of the Act and other provisions of Applicable Law, if any, be and stand transferred to and vested in the Resulting Company, as a going concern without any further act, instrument, deed, matter or thing so as to become, the undertaking of the Resulting Company by virtue of and in the manner provided in this Scheme.

10. Transfer and vesting of assets

10.1 Upon the coming into effect of this Scheme and with effect from the Appointed Date, the Stage II Transmission Undertaking (including all the estate, assets, investments, rights, claims, title, interest and authorities including accretions and appurtenances of the Stage II Transmission Undertaking) shall, subject to the provisions of this Clause 10 in relation to the mode of transfer and vesting and pursuant to Sections 230 to Section 232 of the Act and without any further act or deed or instrument, be demerged from the Demerged Company and be transferred to and vested in and be deemed to have been transferred to and vested in the Resulting Company so as to become as and from the Appointed Date, the estate, assets, rights, claims, title, interest and authorities of the Resulting Company, subject to the provisions of this Scheme in relation to Encumbrances in favour of banks and/or financial institutions.

10.2 In respect of such assets of the Stage II Transmission Undertaking as are immovable properties (if any), with effect from the Appointed Date, all such immovable

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properties (including but not limited to the land, buildings, offices, factories, sites, tenancy rights, right of way, related thereto, and other immovable property, including accretions and appurtenances), whether or not included in the books of the Demerged Company, whether freehold or leasehold or on a license basis (including but not limited to any other document of title, rights, interest and easements in relation thereto, and any shares in cooperative housing societies associated with such immoveable property) shall stand transferred to and vested in and be deemed to have been transferred to and vested in the Resulting Company, without any act or deed or instrument to be done or executed by the Demerged Company and/ or the Resulting Company. However, any assets of the Stage II Transmission Undertaking which are in the nature of immovable property vested with the Demerged Company may be transferred to the Resulting Company either under the Scheme (as aforesaid) or by way of a separate conveyance or agreement (if required) without payment of any additional consideration.

10.3 In respect of such of the assets of the Stage II Transmission Undertaking as are movable in nature or are otherwise capable of being transferred by delivery of possession or by endorsement and delivery, the same shall be so transferred by the Demerged Company, respectively, upon the coming into effect of the Scheme, and shall become the property of the Resulting Company as an integral part of the Stage II Transmission Undertaking with effect from the Appointed Date pursuant to the provisions of Sections 230 to Section 232 of the Act without requiring any act or deed or instrument of conveyance for transfer of the same, subject to the provisions of this Scheme in relation to Encumbrances in favour of banks and/or financial institutions.

10.4 In respect of movables of the Stage II Transmission Undertaking, other than those dealt with in Clause 10.3 above including sundry debts, receivables, bills, credits, loans and advances, if any, whether recoverable in cash or in kind or for value to be received, bank balances, investments, earnest money and deposits with any Governmental Authority, quasi-governmental authority, local or other authority or body or with any company or other person, the same shall on and from the Appointed Date stand transferred to and vested in the Resulting Company and be deemed to have been transferred to and vested in the Resulting Company without any notice or other intimation to the debtors (although the Resulting Company may without being obliged and if it so deems appropriate at its sole discretion, give notice in such form as it may deem fit and proper, to each person, debtor, or depositee, as the case may be, that the said debt, loan, advance, balance or deposit pertaining to the Stage II Transmission Undertaking stands transferred and vested in the Resulting Company).

10.5 In respect of such of the assets belonging to the Stage II Transmission Undertaking other than those referred to in Clauses 10.2, 10.3 and 10.4 above, the same shall, as more particularly provided in Clause 10.1 above, without any further act, instrument or deed, be transferred to and vested in the Resulting Company and be deemed to have been transferred to and vested in the Resulting Company upon the coming into effect of the Scheme and with effect from the Appointed Date pursuant to the provisions of Section 230 to Section 232 of the Act.

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10.6 All assets, rights, title, interest and investments of the Demerged Company in relation to the Stage II Transmission Undertaking shall also, without any further act, instrument or deed stand transferred to and vested in and be deemed to have been transferred to and vested in the Resulting Company upon the coming into effect of this Scheme and with effect from the Appointed Date pursuant to the provisions of Section 230 to Section 232 of the Act.

10.7 Any asset or property acquired or received or receivable by the Demerged Company after the date of approval of this Scheme by the Board of Directors of the Demerged Company but prior to the Effective Date pertaining to the Stage II Transmission Undertaking shall upon the coming into effect of this Scheme, also without any further act, instrument or deed stand transferred to and vested in or be deemed to have been transferred to or vested in the Resulting Company upon the coming into effect of this Scheme and with effect from the Appointed Date, pursuant to the provisions of Sections 230 to Section 232 of the Act.

10.8 For the avoidance of doubt, upon the coming into effect of this Scheme and with effect from the Appointed Date, pursuant to the provisions of Section 230 to Section 232 of the Act, all the rights, title, interest and claims of the Demerged Company in any property in relation to the Stage II Transmission Undertaking shall, pursuant to Section 232(4) of the Act, be transferred to and vested in or be deemed to have been transferred to and vested in the Resulting Company automatically without requirement of any further act or deed or instrument.

10.9 The balance sheet of the Stage II Transmission Undertaking, as on the Appointed Date shall jointly be drawn up by the Board of Directors of the Demerged Company and the Resulting Company. It is hereby clarified that any question which may arise as to whether a specified asset or a liability pertains or does not pertain to the Stage II Transmission Undertaking or whether it arises out of the operations or activities of the Stage II Transmission Undertaking shall be decided mutually by the Board of Directors of the Demerged Company and the Resulting Company.

11. **Transfer of contracts, deeds, etc.**

11.1 Upon the coming into effect of this Scheme and subject to the provisions of this Scheme including Clause 12, all Contracts, and Records in relation to the Stage II Transmission Undertaking to which the Demerged Company is a party or to the benefit of the Demerged Company may be eligible, and which are subsisting or have effect immediately before the Effective Date, shall continue in full force and effect against or in favour, as the case may be, of the Resulting Company and may be enforced as fully and effectually as if, instead of the Demerged Company, the Resulting Company had been a party or beneficiary or obligee thereto.

11.2 Without prejudice to the other provisions of this Scheme and notwithstanding the fact that vesting of the Stage II Transmission Undertaking occurs by virtue of this Scheme

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itself, the Resulting Company may, at any time after the coming into effect of this Scheme in accordance with the provisions hereof, if so required under any Law or otherwise, take such actions and execute such deeds (including deeds of adherence), confirmations or other writings or tripartite arrangements with any party to any contract or arrangement to which the Demerged Company is a party solely on account of the Stage II Transmission Undertaking, or any writings as may be necessary in order to give formal effect to the provisions of this Scheme. The Resulting Company shall be deemed to be authorised to execute any such writings on behalf of the Demerged Company and to carry out or perform all such formalities or compliances referred to above on the part of the Demerged Company to be carried out or performed, provided that such writings are solely for the purpose of Stage II Transmission Undertaking and do not impose any obligations or liabilities on Remaining Business or the Demerged Company.

11.3 For the avoidance of doubt and without prejudice to the generality of the foregoing, it is clarified that upon the coming into effect of this Scheme and from the Appointed Date all Governmental Approvals, consents, permissions, licenses, certificates, clearances, authorities, powers of attorney given by, issued to or executed in relation to the Stage II Transmission Undertaking, shall stand transferred to the Resulting Company as if the same were originally given by, issued to or executed in favour of the Resulting Company, and the Resulting Company shall be bound by the terms thereof, the obligations and duties thereunder, and the rights and benefits under the same shall be available to the Resulting Company. The Resulting Company shall make applications to any Governmental Authority as may be necessary in this behalf.

11.4 Without prejudice to the aforesaid, it is clarified that if any assets (estate, claims, rights, title, interest in or authorities relating to such assets) or any Contract, deeds, bonds, agreements, schemes, arrangements, licenses or other instruments of whatsoever nature in relation to each of the Stage II Transmission Undertaking which the Demerged Company owns or to which the Demerged Company is a party to, cannot be transferred to the Resulting Company for any reason whatsoever, the Demerged Company shall hold such asset or Contract, deeds, bonds, agreements, schemes, arrangements or other instruments of whatsoever nature in trust for the benefit of the Resulting Company, in so far as it is permissible to do so, till such time as the transfer is effected.

12. **Transfer of Liabilities**

12.1 Upon the coming into effect of this Scheme, all Demerged Liabilities shall, without any further act or deed, stand transferred to and be deemed to be transferred to the Resulting Company and the Resulting Company shall meet, discharge and satisfy the same to the extent they are outstanding as on the Effective Date.

12.2 Where any of the Demerged Liabilities have been discharged by the Demerged Company on or after the approval of this Scheme by the Board of Directors of the

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Demerged Company and prior to the Effective Date, such discharge shall be deemed to have been for and on account of the Resulting Company.

12.3 Upon the coming into effect of the Scheme, all Demerged Liabilities shall be deemed to have been raised, used or incurred for and on behalf of the Resulting Company and to the extent they are outstanding on the Effective Date, shall also without any further act or deed be and stand transferred to and be deemed to be transferred to the Resulting Company and shall become the loans, debts, liabilities, duties and obligations of the Resulting Company.

12.4 In so far as the existing Encumbrances in respect of the Demerged Liabilities are concerned, such Encumbrances shall, without any further act, instrument or deed be modified and shall be extended to and shall operate only over the assets comprised in the Stage II Transmission Undertaking which have been Encumbered in respect of the Demerged Liabilities as transferred to the Resulting Company pursuant to this Scheme. Provided that if any of the assets comprised in the Stage II Transmission Undertaking, which are being transferred to the Resulting Company pursuant to this Scheme, have not been Encumbered in respect of the Demerged Liabilities, such assets shall remain unencumbered, and the existing Encumbrances referred to above shall not be extended to and shall not operate over such assets. The absence of any formal amendment which may be required by a lender or trustee or third party shall not affect the operation of the above.

12.5 Without prejudice to the provisions of the foregoing Clauses and upon the effectiveness of the Scheme, the Demerged Company and the Resulting Company shall execute any instrument(s) and/or document(s) and/or do all the acts and deeds as may be required, including the filing of necessary particulars and/or modification(s) of charge, with the respective Registrar of Companies to give formal effect to the above provisions, if required.

12.6 Upon the coming into effect of this Scheme, the Resulting Company alone shall be liable to perform all obligations in respect of the Demerged Liabilities, which have been transferred to it in terms of this Scheme, and the Demerged Company shall not have any obligations in respect of such Demerged Liabilities.

12.7 It is expressly provided that, save as mentioned in this Clause 12, no other term or condition of the liabilities transferred to the Resulting Company as part of the Scheme is modified by virtue of this Scheme except to the extent that such amendment is required by necessary implication.

12.8 The provisions of this Clause 12 shall operate, notwithstanding anything to the contrary contained in any instrument, deed or writing or the terms of sanction or issue or any security document, all of which instruments, deeds or writings shall stand modified and/or superseded by the foregoing provisions.

13. **Legal, Taxation and other proceedings**

13.1 Upon the coming into effect of this Scheme, with effect from Appointed Date all suits, actions, and other proceedings including legal and taxation proceedings, (including before any statutory or quasi-judicial authority or tribunal) by or against the Demerged Company in relation to Stage II Transmission Undertaking, whether pending and/or arising on or before the Effective Date or which may be instituted thereafter, shall be continued and/or enforced by or against the Resulting Company as effectually and in the same manner and to the same extent as if the same had been instituted and/or pending and/or arising by or against the Resulting Company.

13.2 The Resulting Company shall have all legal, taxation or other proceedings initiated by or against the Demerged Company in relation to the Stage II Transmission Undertaking transferred to its name as soon as is reasonably possible after the Effective Date or amended, as the case may be applicable, and to have the same continued, prosecuted and enforced by or against the Resulting Company.

13.3 Except as otherwise provided herein, the Demerged Company shall in no event be responsible or liable in relation to any legal or other proceedings that stand transferred to the Resulting Company. The Resulting Company shall be replaced or added as party to such proceedings and shall prosecute or defend such proceeding at its own cost and the liability of the Demerged Company shall consequently stand nullified.

13.4 Any proceedings instituted, after the Effective Date, to the extent that they pertain to the Stage II Transmission Undertaking shall be initiated by or against (as the case may be) the Resulting Company, and the Resulting Company shall defend the same at its own cost. If at any time after the Effective Date, the Demerged Company is in receipt of any demand, claim, notice and/or is impleaded as a party in any proceeding by Governmental Authorities or any person, in each case in relation to the Stage II Transmission Undertaking, in view of the transfer and vesting of the Stage II Transmission Undertaking, the Demerged Company shall promptly notify the Resulting Company by way of a written notice of such proceedings, and upon receipt of such notification, Resulting Company shall take all steps to replace the Demerged Company with the Resulting Company in such an event only with respect to claims or matters which pertain to the Stage II Transmission Undertaking (and the Demerged Company shall co-operate with the Resulting Company in this process). However, in case the Resulting Company is unable to be replaced in place of the Demerged Company in such proceedings, the Demerged Company shall defend the same or deal with such demand in accordance with the directions and instructions of the Resulting Company and the Resulting Company shall reimburse and indemnify the Demerged Company against all liabilities and obligations incurred by the Demerged Company in respect thereof.

14. **Tax**

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14.1 All Taxes paid or payable in relation to or in connection with the operations and profits of the Stage II Transmission Undertaking before the Appointed Date, shall be on account of the Demerged Company. With effect from the Appointed Date, all Taxes in relation to or in connection with the operations and profits of the Stage II Transmission Undertaking before the Appointed Date, including all or any refunds/ input credit/ claims/ tax losses/unabsorbed depreciation relating thereto shall be treated as the asset/ liability or refunds/ input credit/ claims/ tax losses/ unabsorbed depreciation, as the case may be, of the Resulting Company.

14.2 In so far as various incentives, subsidies, exemptions, all indirect tax related benefits, including goods and service tax benefits, income tax holiday/ benefit/ losses and other benefits or exemptions or privileges enjoyed, granted by any Governmental Authority or by any other person, or availed of by Demerged Company for, in relation to or in connection with the Stage II Transmission Undertaking are concerned, the same shall, without any further act or deed, vest with and be available to the Resulting Company on the same terms and conditions as if the same had been allotted and/ or granted and/ or sanctioned and/ or allowed to Resulting Company.

14.3 The Demerged Company and the Resulting Company are expressly permitted to file/revise their tax returns including income tax returns, tax deducted at source ("**TDS**") certificates, TDS returns, GST returns / returns in terms of the Applicable Law, and shall have the right to claim refunds, advance tax credits, TDS credits, GST credits, credit of foreign taxes paid/withheld etc., if any, (except as specifically provided in relation to the Remaining Business) on the basis of the accounts of the Stage II Transmission Undertaking as vested with the Resulting Company upon the coming into effect of this Scheme, in terms of the Applicable Law.

14.4 It is hereby clarified that the ability of the Resulting Company to claim minimum alternate tax credit under Section 115JAA of the IT Act shall not be impacted as a result of the matters set out in the Scheme.

14.5 The Demerged Company and the Resulting Company, after filing the revised tax returns, may revise their tax returns, electronically or physically, after taking credit for taxes paid including TDS / tax collected at source ("**TCS**") certificates/ returns, wealth tax returns, service tax, excise duty, sales tax, value added tax, GST, entry tax, cess, professional tax or any other statutory returns, if required, and shall be entitled to claim credit for advance tax paid, claim for sum(s) prescribed under Section 43B of the IT Act on payment basis, claim for deduction of provisions written back by the Demerged Company pertaining to Stage II Transmission Undertaking previously disallowed in the hands of the Demerged Company under the IT Act, minimum alternate tax credit, credit of foreign tax paid/withheld, if any, pertaining to Stage II Transmission Undertaking of the Demerged Company, consequent to implementation of this Scheme and where necessary to give effect to this Scheme, even if the prescribed time limit for filing or revising such returns have lapsed without incurring any liability on account of interest, penalty or any other sum to claim refunds, advance tax credits, excise and service tax credits, set off, etc.,

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on the basis of the accounts of the Stage II Transmission Undertaking of the Demerged Company, upon the coming into effect of this Scheme.

14.6 The Resulting Company will be the successor of the Demerged Company *vis-à-vis* the Stage II Transmission Undertaking and therefore, shall be deemed to be the beneficiary of any Tax credits whether central, state or local, availed *vis-a-vis* the Stage II Transmission Undertaking and the obligations, if any, for payment of Taxes on any assets of the Stage II Transmission Undertaking, shall be deemed to have been availed by the Resulting Company or as the case may be deemed to be the obligations of the Resulting Company.

14.7 With effect from the Appointed Date and upon the Scheme becoming effective, all Taxes receivable/payable by the Demerged Company relating to the Stage II Transmission Undertaking including all or any refunds/credit/claims/Tax losses /unabsorbed depreciation relating thereto shall be treated as the asset/liability or refunds/credit/claims/tax losses /unabsorbed depreciation, as the case may be, of the Resulting Company.

15. **Employees**

15.1 Upon the coming into effect of this Scheme, the Employees (if any) shall become the employees of the Resulting Company with effect from the Appointed Date, and, subject to the provisions hereof, on terms and conditions not less favourable than those on which they are employed by the Demerged Company and without any interruption of, or break in, service as a result of the transfer of the Stage II Transmission Undertaking. The Resulting Company agrees that for the purpose of payment of any compensation, gratuity and other terminal benefits, the past services of the Employees with the Demerged Company shall also be taken into account and agrees and undertakes to pay the same as and when payable.

15.2 In so far as the existing provident fund and gratuity benefits created by the Demerged Company *inter alia* for its employees (including employees of the Stage II Transmission Undertaking) are concerned (collectively referred to as the "**Employee Benefit Funds**"), such proportion of the investments made in the Employee Benefit Funds and liabilities which are referable to the Employees shall be held for their benefit pursuant to this Scheme in the manner provided hereinafter. The Employee Benefit Funds shall, subject to the necessary approvals and permissions and at the discretion of the Resulting Company, either be continued as separate funds of the Resulting Company for the benefit of the employees of the Stage II Transmission Undertaking or be transferred to and merged with other similar funds of the Resulting Company. In the event that the Resulting Company does not have its own fund in respect of any of the aforesaid matters, the Resulting Company may, subject to necessary approvals and permissions, continue to contribute in respect of the Employees to the respective Employee Benefit Funds or discharge such liabilities of the Demerged Company, until such time that the Resulting Company creates its own fund, at which time the Employee Benefit Funds, investments, contributions and

liabilities pertaining to the Employees shall be transferred to the funds created by the Resulting Company.

15.3 In relation to any other fund (including any funds set up by the government for employee benefits) created or existing for the benefit of the Employees, the Resulting Company shall stand substituted for the Demerged Company, for all purposes whatsoever, including in relation to the obligation to make contributions to the said funds in accordance with the provisions of such scheme, funds, bylaws, etc. in respect of the Employees.

15.4 In so far as the existing benefits or funds created by the Demerged Company for the employees of the Remaining Business are concerned, the same shall continue and the Demerged Company shall continue to contribute to such benefits or funds in accordance with the provisions thereof, and such benefits or funds, if any, shall be held *inter alia* for the benefit of the employees of the Remaining Business and the Resulting Company shall have no liability in respect thereof.

SECTION 2 – CONDUCT OF BUSINESS UNTIL EFFECTIVE DATE

16. With effect from the date of filing of the Scheme and up to and including the Effective Date:

16.1 The Demerged Company shall carry on and be deemed to have carried on all business and activities of the Stage II Transmission Undertaking and shall hold and stand possessed of and shall be deemed to hold and stand possessed of all its estates, properties, assets, rights, title, interest, authorities, contracts, leases, investments and strategic decisions for and on account of, and in trust for, the Resulting Company;

16.2 All profits and income accruing or arising to the Demerged Company from the Stage II Transmission Undertaking, and losses and expenditure arising or incurred by it (including taxes, if any, accruing or paid in relation to any profits or income) for, in relation to, in connection with or pertaining to the Stage II Transmission Undertaking for the period commencing from the Appointed Date shall, for all purposes, be treated as and be deemed to be the profits, income, losses or expenditure (including taxes), as the case may be, of the Resulting Company;

16.3 Any of the rights, powers, authorities or privileges exercised by the Demerged Company for, in relation to, in connection with or pertaining to the Stage II Transmission Undertaking shall be deemed to have been exercised by such Demerged Company for and on behalf of, and in trust for and as an agent of the Resulting Company. Similarly, any of the obligations, duties and commitments that have been undertaken or discharged by the Demerged Company for, in relation to or in connection with the Stage II Transmission Undertaking shall be deemed to have been undertaken for and on behalf of and as an agent for the Resulting Company; and

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16.4 All Taxes paid or payable by the Demerged Company in respect of the operations and/or the profits of the Stage II Transmission Undertaking before the Appointed Date, shall be on account of the Demerged Company and, insofar as it relates to the payment of Tax by the Demerged Company in respect of the profits or activities or operation of the Stage II Transmission Undertaking with effect from the Appointed Date, the same shall be deemed to be the corresponding item paid by the Resulting Company, and shall, in all proceedings, be dealt with accordingly.

17. Without prejudice to the generality of Clause 16 above, from the date of filing of the Scheme until the Effective Date, the Demerged Company (only with respect to the Stage II Transmission Undertaking) and the Resulting Company shall take, perform or undertake their respective businesses in the ordinary course as being carried out on or prior to the filing of the Scheme.

18. Subject to the terms of the Scheme, the transfer and vesting of the Stage II Transmission Undertaking as per the provisions of the Scheme shall not affect any transactions or proceedings already concluded by the Demerged Company on or before the Appointed Date or after the Appointed Date until the Effective Date, to the end and intent that the Resulting Company accepts and adopts all acts, deeds and things made, done and executed by the Demerged Company as acts, deeds and things made, done and executed by or on behalf of the Resulting Company.

19. On and after the Effective Date, the Demerged Company shall provide to the Resulting Company (upon reasonable written notice) access to inspect, examine and take copies of such Records kept by the Demerged Company in relation to the Stage II Transmission Undertaking which Resulting Company may consider necessary.

SECTION 3 – REMAINING BUSINESS

20. The Remaining Business and all the assets, liabilities and obligations pertaining thereto shall continue to belong to and be vested in and be managed by the Demerged Company subject to the provisions of this Scheme.

21. All legal, taxation or other proceedings whether civil or criminal (including before any statutory or quasi-judicial authority or tribunal) by or against the Demerged Company under any statute, whether pending on the Appointed Date or which may be instituted at any time thereafter, and in each case relating to the Remaining Business (including those relating to any property, right, power, liability, obligation or duties of the Demerged Company in respect of the Remaining Business) shall be continued and enforced by or against the Demerged Company after the Effective Date. If at any time after the Effective Date, the Resulting Company is in receipt of any demand, claim, notice and/or is impleaded as a party in any proceeding by Governmental Authorities or any person, in each case in relation to the Remaining Business, the Resulting Company shall promptly notify the Demerged Company by way of a written notice of such proceedings, and upon receipt of such notification, Demerged Company shall take all steps to replace the Resulting Company with the Demerged Company in such an event only with respect to claims or matters which pertain to the Remaining

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Business (and the Resulting Company shall co-operate with the Demerged Company in this process). However, in case the Demerged Company is unable to be replaced in place of the Resulting Company in such proceedings, the Resulting Company shall defend the same or deal with such demand in accordance with the directions and instructions of the Demerged Company and the Demerged Company shall reimburse and indemnify the Resulting Company against all liabilities and obligations incurred by the Resulting Company in respect thereof.

22. Up to and including till the Effective Date:

22.1 the Demerged Company shall carry on and shall be deemed to have been carrying on all business and activities relating to the Remaining Business for and on its own behalf;

22.2 all profits and income accruing or arising to the Demerged Company from the Remaining Business, and losses and expenditure arising or incurred by it (including the effect of taxes, if any, accruing or paid in relation to any profits or income) in relation to, in connection with or pertaining to the Remaining Business shall, for all purposes, be treated as and be deemed to be the profits, income, losses or expenditure (including taxes), as the case may be, of the Demerged Company; and

22.3 all assets and properties acquired by the Demerged Company in relation to the Remaining Business on and after the Appointed Date shall belong to and continue to remain vested in the Demerged Company.

SECTION 4 – CONSIDERATION

23. The provisions of this Section 4 shall operate notwithstanding anything to the contrary in this Scheme.

24. In consideration of the transfer and vesting of the Stage II Transmission Undertaking by the Demerged Company to the Resulting Company in accordance with the provisions of this Scheme and as an integral part of this Scheme, the Resulting Company shall issue CCCPPS in the manner set out in Clause 25 to Clause 30 below. It is clarified that the consent of the shareholders of the Resulting Company to the Scheme shall be deemed to be sufficient for the issuance of shares by the Resulting Company in accordance with this Section 4, and no further resolutions under Section 13, 14, 42 and 62 or any other applicable provisions of the Act would be required to be separately passed.

25. In consideration of Demerger, the Resulting Company shall, without any further act or deed, issue and allot to such members of the Demerged Company whose name is recorded in the register of members as a shareholder of the Demerged Company as on Record Date, CCCPPS in the Resulting Company in the ratio of 3 (three) CCCPPS in the Resulting Company of face value INR 10/- (Indian Rupees Ten only) each credited as fully paid-up for every 4 (four) equity shares of face value INR 10/-

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(Indian Rupees Ten only) each fully paid up held by such member in the Demerged Company (the "**Entitlement Ratio**"). The CCCPPS shall be subject to the terms set out in **Annexure A** of this Scheme.

26. The CCCPPS shall be issued in dematerialized form by the Resulting Company, provided that the details of the depository accounts of the members of the Demerged Company are made available to the Resulting Company by the Demerged Company at least 10 (Ten) working days prior to the Effective Date. In the event that such details are not available with the Resulting Company, it shall issue CCCPPS to the members of the Demerged Company in physical form.

27. In case any shareholder's holding/ entitlement in the Resulting Company is such that such shareholder becomes entitled to a fraction of the CCCPPS issued pursuant to Clause 25 above, the Resulting Company shall not issue fractional certificates to such shareholders. Any fraction equal to or more than 0.5 arising out of such allotment shall be rounded off to the next higher integer and fraction less than 0.5 shall be rounded off to the earlier lower integer.

28. In the event of there being any pending share transfers, whether lodged or outstanding, of any shareholder of the Demerged Company, the Board of Directors of the Demerged Company shall be empowered in appropriate cases, prior to or even subsequent to the relevant Record Date, to effectuate such a transfer in the Demerged Company as if such changes in registered holder were operative as on the Record Date, in order to remove any difficulties arising to the transferor of the share in the Resulting Company and in relation to the shares issued by the Resulting Company after the effectiveness of this Scheme. The Board of Directors of the Demerged Company shall be empowered to remove such difficulties as may arise in the course of implementation of this Scheme and registration of new members in the Resulting Company on account of difficulties faced in the transaction period.

29. Prior to allotment of the CCCPPS pursuant to this Scheme, if necessary, the Resulting Company shall, to the extent required, increase the authorised share capital of the Resulting Company prior to the Record Date, by creation of at least such number and value of CCCPPS, as may be necessary to satisfy its obligations under the Scheme, and as may be desirable, expedient and necessary in this regard, and the Memorandum and/ or Articles of Association of the Resulting Company shall stand amended accordingly.

30. CCCPPS to be issued by the Resulting Company pursuant to Clause 25 in respect of such of the equity shares of the Demerged Company which are held in abeyance under the provisions of Section 126 of the Act or otherwise shall, pending allotment or settlement of dispute by order of court, NCLT or otherwise, also be kept in abeyance by the Resulting Company.

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31. **Reorganization of Share Capital of the Demerged Company and the Resulting Company**

31.1 Upon the Scheme becoming effective and with the Appointed Date, the authorised share capital of the Demerged Company to the extent of INR 1000,00,00,000/- (Indian Rupees One Thousand Crore only) comprising of 75,00,00,000 (Seventy Five Crore) equity shares having a face value of INR 10/- (Indian Rupees Ten only), and 25,00,00,000 (Twenty Five Crore) of preference shares having a face value of INR 10/- (Indian Rupees Ten only), shall stand transferred to and consolidated with the authorised share capital of the Resulting Company, without any further act or deed and simultaneously with a re-classification of the authorised share capital of the Resulting Company in accordance with the provisions of Section 61 of the Act and the duty and fees paid by the Demerged Company on its authorised share capital shall be set off against any duty and fee payable by the Resulting Company on its authorised capital. Balance fees/duties, if any, payable after the aforesaid adjustment, by the Resulting Company shall be duly paid upon the sanctioning of the Scheme.

31.2 Upon this Scheme coming into effect and with effect from the Appointed Date (and consequent to transfer of a part of the existing authorised share capital of the Demerged Company to the Resulting Company under Clause 31.1 above), the authorised share capital of the Demerged Company shall stand reduced by 75,00,00,000 (Seventy Five Crore) equity shares of INR 10/- (Indian Rupees Ten only) each and 25,00,00,000 (Twenty Five Crore) preference shares of INR 10/- (Indian Rupees Ten only). Such reduced authorised share capital shall stand transferred to the Resulting Company.

31.3 Revised Clause V of the Memorandum of Association of the Demerged Company, post giving effect to above transfer, shall stand modified and be substituted by the following:

"The Authorised Share Capital of the Company is Rs. 1,000,00,00,000 (Rupees One Thousand Crore) divided into 75,00,00,000 (Seventy Five Crore) Equity Shares of Rs. 10 (Rupees Ten) each aggregating to Rs. 750,00,00,000 (Rupees Seven Hundred Fifty Crore) and 25,00,00,000 (Twenty Five Crore) Preference Shares of Rs. 10 (Rupees Ten) each aggregating to Rs. 250,00,00,000 (Rupees Two Hundred Fifty Crore) with power to increase or reduce the capital of the Company and to divide the shares in the capital for the time being into several classes and to attach thereto respectively such preferential, deferred, qualified or special rights, privileges or conditions as may be determined by or in accordance with the Articles of Association of the Company and to vary, modify, amalgamate or abrogate in such manner as may be for the time being be provided by the Articles of Association of the Company."

31.4 Revised Clause V of the Memorandum of Association of the Resulting Company, post giving effect to above transfer, shall stand modified and be substituted by the following:

"(a) The Authorised Share Capital of the Company is Rs. 1000,05,00,000 (Rupees One Thousand Crore Five Lakhs) divided into (a) 50,00,50,000 (Fifty Crore Fifty Thousand) equity shares of Rs. 10 (Rupees Ten) each aggregating to Rs. 500,05,00,000 (Rupees Five Hundred Crore Five Lakhs); and (b) 50,00,00,000 (Fifty Crore) Preference Shares of Rs. 10 (Rupees Ten) each aggregating to Rs. 500,00,00,000 (Rupees Five Hundred Crore) with power to increase or reduce the capital of the Company and to divide the shares in the capital for the time being into several classes and to attach thereto respectively such preferential, deferred, qualified or special rights, privileges or conditions as may be determined by or in accordance with the Articles of Association of the Company and to vary, modify, amalgamate or abrogate in such manner as may be for the time being be provided by the Articles of Association of the Company."

31.5 The reclassification of share capital of the Demerged Company and the Resulting Company pursuant to this Clause 31 shall take effect from the Appointed Date on the effectiveness of the Scheme, without any further act or deed. For the avoidance of doubt, it is hereby clarified that the consent of the shareholders of the Demerged Company and the Resulting Company to this Scheme shall be sufficient for the purposes of effecting the aforesaid reclassification of share capital and amendments in the Memorandum of Association of the Demerged Company and the Resulting Company and that no further resolutions, whether under the applicable provisions of the Act (including Section 13, 61 and 64 of the Act) or under the Articles of Association, shall be required to be separately passed.

SECTION 5 – ACCOUNTING TREATMENT

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32. **Accounting treatment in the books of the Demerged Company**

On effectiveness of the Scheme and with effect from the Appointed Date, the Demerged Company shall account for the transfer of the Stage II Transmission Undertaking in its books of accounts in accordance with the relevant Accounting Standards, as applicable, and notified under Section 133 of the Act read with relevant rules issued thereunder and other accounting principles generally accepted in India. Accordingly, the Demerged Company shall provide for the following treatment in its books of accounts:

32.1 All the assets, liabilities and reserves pertaining to the Stage II Transmission Undertaking, which cease to be the assets, liabilities and reserves of the Demerged Company pursuant to the Demerger, shall be reduced from the books of accounts of the Demerged Company at their respective carrying values as on the Appointed Date.

32.2 Any deficit arising out of Demerger of the Stage II Transmission Undertaking (being excess of assets over liabilities and existing reserves pertaining to the Stage II Transmission Undertaking and proportionate share capital) shall be adjusted against the retained earnings, in the books of the Demerged Company. Whereas any surplus arising out of Demerger of the Stage II Transmission Undertaking (being excess of liabilities, existing reserves, and proportionate share capital over assets pertaining to the Stage II Transmission Undertaking) will be adjusted against the retained earnings in the books of the Demerged Company.

33. **Accounting treatment in the books of the Resulting Company**

Upon the Scheme becoming effective, and with effect from Appointed Date, the Resulting Company shall account for the transfer and vesting of the Stage II Transmission Undertaking to the Resulting Company in its books of accounts in accordance with 'Pooling of Interest Method' of accounting as laid down in Appendix-C of Ind-AS 103 (Business Combinations of entities under common control) and other Accounting Standards, as applicable, and notified under Section 133 of the Act read with relevant rules issued thereunder and other accounting principles generally accepted in India. Accordingly, the Resulting Company shall provide for the following treatment in its books of accounts:

33.1 The Resulting Company shall record the assets, liabilities and reserves of the Stage II Transmission Undertaking, vested in it pursuant to this Scheme, at their respective carrying values as appearing in the books of the Demerged Company as per applicable Accounting Standards, at the close of business of the day immediately preceding the Appointed Date. Further, the identity of the reserves shall be preserved and shall appear in the books of the Resulting Company in the same form in which they appeared in the books of the Demerged Company.

33.2 The Resulting Company shall issue CCCPPS to the shareholders of the Demerged Company as per Clause 23 to Clause 30 of this Scheme. These CCCPPS shall be

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issued and recorded at face value and accordingly the aggregate face value of the shares to be issued shall be credited to the Resulting Company's share capital account; and

33.3 The difference between the net assets and liabilities, including existing reserves, of the Stage II Transmission Undertaking taken over by the Resulting Company after considering the aggregate face value of CCCPPS issued by the Resulting Company on demerger will be debited or credited to Capital Reserve in the books of the Resulting Company as per applicable Accounting Standards.

PART III – GENERAL TERMS AND CONDITIONS

The provisions of this Part shall be applicable to Part II of this Scheme.

34. **Applications**

34.1 The Companies shall make necessary applications before the NCLT for the sanction of this Scheme under Section 230 to Section 232 of the Act.

34.2 The Resulting Company and the Demerged Company (as the case may be) shall be entitled, pending the effectiveness of the Scheme, to apply to any Governmental Authority, if required, under any Law for such consents and approvals which the Resulting Company may require to carry on the business transferred to it pursuant to this Scheme.

34.3 For the avoidance of doubt, it is hereby clarified that if the consent of any third party, or subject to Applicable Law and/ or requirement thereunder, any Governmental Authority is required to give effect to the Scheme, the said third party or Governmental Authority shall make and duly record the necessary substitution/endorsement in the name of the Resulting Company, as the case may be pursuant to the sanction of this Scheme, and upon this Scheme becoming effective in accordance with the provisions of the Act and with the terms hereof. For this purpose, the Demerged Company and/or the Resulting Company shall file appropriate applications/documents with relevant authorities concerned for information and record purposes.

35. **Modifications to the Scheme and resolution of difficulties**

35.1 The Companies (by their respective Board of Directors), may jointly and as mutually agreed in writing:

(i) In their full and absolute discretion, assent to any alteration(s) or modification(s) to this Scheme which the NCLT may deem fit to approve or impose, and/or effect any other modification or amendment jointly and mutually agreed in writing, including, without limitation, any modifications to the accounting treatment set out in the Scheme due to any change in regulatory or compliance requirements being made applicable to the Companies or to the matters set forth in this Scheme, and to do all acts, deeds and things as may be necessary, desirable or expedient for the purposes of this Scheme;

(ii) Give such directions (acting jointly) as may be mutually agreed in writing as they may consider necessary to settle any question or difficulty arising under this Scheme or in regard to and of the meaning or interpretation of this Scheme or implementation thereof or in any matter whatsoever connected therewith (including any question or difficulty arising in connection with any

insolvent shareholders, depositors or debenture holders of the respective companies), or to review the position relating to the satisfaction of various conditions of this Scheme and if necessary, to waive any of those (to the extent permissible under Applicable Law);

(iii) In their full and absolute discretion and by mutual agreement in writing, modify, vary or withdraw this Scheme prior to the Effective Date in any manner at any time; and

(iv) Determine jointly by mutual agreement in writing whether any asset, liability, employee, legal or other proceedings pertains to the Stage II Transmission Undertaking or not, on the basis of any evidence that they may deem relevant for this purpose.

35.2 Any modification to the Scheme by the Demerged Company and/or the Resulting Company, after receipt of sanction by the NCLT in respect of the Scheme, shall be made only with the prior approval of the NCLT.

36. **Scheme as an integral whole and severability**

36.1 The provisions contained in this Scheme are inextricably inter-linked with the other provisions and the Scheme constitutes an integral whole. The Scheme would be given effect to only if it is approved in its entirety unless specifically agreed otherwise by the respective Board of Directors of the Companies.

36.2 If any part of this Scheme is found to be unworkable and / or unenforceable for any reason whatsoever, the same shall not, subject to the mutual agreement of the Companies in writing, affect the validity or implementation of the other parts and/or provisions of this Scheme.

37. **Dividends**

37.1 The Demerged Company and the Resulting Company shall be entitled to declare and pay dividends, whether interim or final, to their respective shareholders in respect of the period prior to the Effective Date. The shareholders of the Demerged Company shall not be entitled to dividend, if any, declared and paid by the Resulting Company to its shareholders for the accounting period prior to the Appointed Date.

37.2 It is clarified that the aforesaid provisions in respect of declaration of dividends are enabling provisions only and shall not be deemed to confer any right on any shareholder of a Company to demand or claim any dividends from such Company which, subject to the provisions of the Act, shall be entirely at the discretion of the respective Board of Directors of such Company, and subject to the approval, if required, of the shareholders of such Company.

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38. **Validity of Existing Resolutions**

Upon the coming into effect of the Scheme, the resolutions, if any, of the Demerged Company in relation to the Stage II Transmission Undertaking relating to any powers to borrow, make investments, give loans, give guarantees, etc. approved under the provisions of the Act or any other applicable statutory provisions, which are valid and subsisting on the Effective Date, shall continue to be valid and subsisting and be considered as resolutions of the Resulting Company, and if any such resolutions have any monetary limits approved under the provisions of the Act, or any other applicable statutory provisions, such limits shall be added to the limits, if any, under like resolutions passed by the Resulting Company, and shall constitute the aggregate of the said limits in the Resulting Company.

39. **Scheme conditional**

The coming into effect of this Scheme is conditional upon and subject to:

(i) This Scheme being approved by the respective requisite majorities of the various classes of members and creditors (where applicable) of the Companies as required under the Act and the requisite orders of the NCLT, or dispensation having been received from the NCLT in relation to obtaining such approval from the members and/or creditors;

(ii) The acquisition of Stage II Transmission Undertaking on a going concern basis by the Resulting Company with its associated assets and liabilities;

(iii) The NCLT having accorded its sanction to the Scheme in terms of Sections 230 to Section 232 and other relevant provisions of the Act; and

(iv) Such other approvals and sanctions as required from the NCLT, including the items as may be required and/ or directed by the NCLT or any Governmental Authority or as may be required by Law in respect of the Scheme being obtained.

40. **WRONG POCKETS**

Subject to Clauses 10.1, 11.1, 12.1, 13.1, 14.1 and 15.1 above:

40.1 no asset or liability of the Stage II Transmission Undertaking shall be retained by the Demerged Company on and after the Effective Date. If any asset or liability of the Stage II Transmission Undertaking is retained with the Demerged Company on and after the Effective Date, the Demerged Company shall take such actions as may be reasonably required to ensure that such asset or liability of the Stage II Transmission Undertaking is transferred to the Resulting Company promptly and for no further consideration, and the Resulting Company shall take back such asset or liability as soon as practicable. The Resulting Company shall bear all costs and expenses as may

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be required to be incurred by the Demerged Company, subject to the prior written consent of the Resulting Company, for giving effect to this Clause.

40.2 no asset or liability of the Remaining Business shall be transferred to the Resulting Company after the Effective Date pursuant to the Demerger. If any asset or liability of the Remaining Business is transferred to the Resulting Company pursuant to the Demerger, the Resulting Company shall take such actions as may be reasonably required to ensure that such asset or liability of the Remaining Business is transferred back to the Demerged Company, promptly and for no consideration, and the Demerged Company shall take back such asset or liability as soon as practicable. The Demerged Company shall bear all costs and expenses as may be incurred by each of the Demerged Company or the Resulting Company for giving effect to this Clause;

40.3 in the event the Demerged Company realizes any amounts after the Effective Date that form part of the Stage II Transmission Undertaking, it shall immediately make payment of such amounts to the Resulting Company. In the event the Resulting Company realizes any amounts after the Effective Date that form part of the Remaining Business, it shall immediately make payment of such amounts to the Demerged Company. It is clarified that all receivables relating to the Stage II Transmission Undertaking, for the period prior to the Effective Date, but received after the Effective Date, relate to the Stage II Transmission Undertaking and shall be paid to the Resulting Company for no additional consideration. If the Resulting Company realizes any amounts after the Effective Date that pertains to the Remaining Business, the Resulting Company shall immediately pay such amounts to the Demerged Company.

41. **Costs**

Except as stated above, all costs (including without limitation all applicable duties and cesses, and legal counsel fees) incurred by the Companies in connection with the Scheme shall be borne by the Demerged Company.

42. **Cooperation**

The Demerged Company and the Resulting Company, shall, at any time after this Scheme becomes effective in accordance with the provisions hereof, if so required under Applicable Law or otherwise, do all such acts or things as may be necessary to transfer/novate the approvals, consents, exemptions, registrations, no-objection certificates, permits, quotas, rights, entitlements, licenses and certificates which are required for completing the transfer of the Stage II Transmission Undertaking under the Scheme, and/ or operation of the Stage II Transmission Undertaking on and after the Effective Date.

Annexure A

Terms of CCCPPS

1. **GENERAL TERMS**

The Compulsorily Convertible Cumulative Participating Preference Shares ("**CCCPPS**") shall be compulsorily convertible preference shares bearing the terms and conditions herein, are issued by the Company as fully paid up and are compulsorily convertible into equity shares of the Company of the face value of INR 10 (Indian Rupees Ten only) ("**Equity Shares**").

2. ISSUE PRICE

Each CCCPPS has a face value of INR 10 (Indian Rupees Ten only) per CCCPPS.

3. DIVIDENDS

The CCCPPS shall carry an annual fixed dividend, as and when declared, at the rate of 0.01% (zero point zero one per cent) of the profits of the Company. The right to receive dividend on the CCCPPS shall be cumulative in nature. CCCPPS shall have same participating rights to dividend as that of equity shares over and above the fixed dividend.

4. VOTING

The CCCPPS shall not carry any voting rights, except for those voting rights as provided under Section 47(2) of the Act.

5. CONVERSION

(a) Conversion Ratio

Subject to Applicable Law, 1 (one) CCCPPS shall convert to 1 Equity Share of the Company ("**Conversion Ratio**").

(b) Conversion

(i) Mandatory Conversion: The CCCPPS shall be deemed to have automatically and mandatorily converted to Equity Shares at the Conversion Ratio at the expiry of one day prior to 20 (twenty) years from the date of allotment of the CCCPPS.

(ii) Voluntary Conversion: The CCCPPS can be voluntarily converted (in all or part) to Equity Shares of the Company at the option of the holder of the CCCPPS by issuance of Conversion Notice (*as defined hereinbelow*). Provided that any CCCPPS that have not been voluntarily converted into Equity Shares shall, compulsorily be converted into Equity Shares in accordance with paragraph 5(b)(i).

(iii) Liquidation: CCCPPS shall be eligible to receive over and above the preferential share capital in the remaining assets of the Company after distribution of all preferential amounts, in proportion to their shareholding in the event of liquidation, at par with the equity shares.

(iv) The conversion described in paragraphs 5(b)(i) above shall take place without any further act on the part of the holder of the CCCPPS. The holder of the CCCPPS shall be deemed by the terms and conditions of the CCCPPS set out herein, to have authorised the Company to enter its name in the register of members for Equity Shares allotted to it on such conversion, unless such conversion is pursuant to the liquidation of the Company.

(v) Equity shares to be issued upon conversion of CCCPPS shall rank *pari passu* with the existing equity shares.

(c) Conversion Process

(i) The holder of CCCPPS may elect for conversion of the CCCPPS by issuing a written notice ("**Conversion Notice**") to the Company indicating (i) its willingness to convert CCCPPS; and (ii) the number of CCCPPS in relation to which it wants to exercise its conversion rights.

(ii) Upon receipt of the Conversion Notice, the Company shall undertake all actions necessary for converting the CCCPPS into Equity Shares ("**Converted Shares**") as per the Conversion Ratio.

(iii) Upon determination of the Converted Shares, the Company shall take all necessary corporate actions to complete such conversion, including the following:

(iv) Convene a meeting of the Board of Directors, at which meeting the Board of Directors shall approve the following: (i) the issuance and allotment of the Converted Shares; and (ii) the cancellation of the certificates representing CCCPPS.

(v) Issue the Converted Shares in dematerialised form. The Company shall bear the cost (including cost of any stamp duty) payable for issuance of Converted Shares in dematerialised form.

(vi) Update its register of members to reflect such conversion by recording the name of the holder of the CCCPPS as the owner of the Converted Shares.

(vii) Within the timeframe prescribed under Applicable Law, the Company shall make any and all corporate, secretarial and statutory filings, to be made to the Registrar of Companies, in connection with such conversion and allotment of the Equity Shares.

(viii) Do all such acts and deeds as may be necessary.

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6. **NON-REDEMPTION**

The CCCPPS shall not be redeemable.

7. **TRANSFERABILITY**

The CCCPPS shall be freely transferable by the CCCPPS holder to any person.

8. **PREFERENTIAL RIGHTS**

Subject to Applicable Law, the CCCPPS shall carry a preferential right over Equity Shares and other classes of preference shares of the Company for: (i) distributions of dividend; and (ii) repayment of the capital, of the amount of the share capital paid-up or deemed to have been paid-up by the holder of CCCPPS by subscribing to the CCCPPS, at the time of liquidation of the Company.

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